# Micron Technology, Inc.

**MU** NASDAQ

| Buy | $912.96 ▲ 4.04% | 12M Price Target | 52-Week Range | Market Cap |
|---|---|---|---|---|
| | | **$1050.00** | $192.59 – $1255.00 | $1.03T |

## MU: HBM Demand + CHIPS Act Tailwinds Keep Pushing Higher

### WHAT HAPPENED

- MU popped 4% to $913 on no overnight news — this is pure follow-through from the tech sector rip (XLK +1.9%) and some aggressive call buying. Those unusual $900 calls expiring this week (39,860 contracts, 12x normal open interest) tell you big money was betting the stock would clear $900 by Friday — and it did.
- Tuesday's $856 flush and the fast recovery back above $900 is textbook — buyers stepped in hard on the dip. That tells you the trend is still up.

### WHY IT MATTERS

The near-trillion-dollar market cap on a memory company tells you the market has fully bought the "HBM is the new oil" story — HBM (high-bandwidth memory) is the specialized chip that sits next to Nvidia GPUs, and Micron is one of only three companies on earth that makes it. The 4% rally with no news means institutions are front-running Micron's next earnings print, which should show HBM revenue roughly doubling. The real inference here: at 68% of its 52-week range with options flow screaming bullish, smart money is positioning for another leg up — but you're buying strength, not value. Keep in mind this stock went from $192 to $1,255 in a year, so a 20-30% pullback at some point is normal, not a thesis-breaker.

### POLICY & POLITICAL WATCH

Micron is one of the biggest beneficiaries of the CHIPS Act — they've been awarded roughly $6.1B in federal grants to build new fabs in Idaho and New York, which is basically the government paying for part of their factory. Watch for any noise around CHIPS Act clawback provisions or reallocation debates in Congress — the current administration has flirted with renegotiating awards, and any threat to Micron's grants would hit the stock. The bigger swing factor is China export policy: if Washington tightens AI chip export rules further, it could squeeze Micron's China revenue (~10% of sales), but it also kneecaps their Chinese competitors (CXMT) from scaling HBM — net-net probably bullish, but headline risk is real.

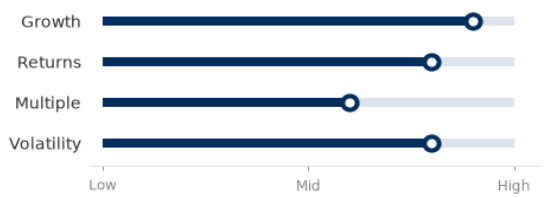
### IS IT EXPENSIVE?

At ~71x trailing earnings but ~20x forward earnings (meaning investors are paying $20 for every $1 of profit the company is expected to make next year), MU looks expensive on today's numbers but reasonable if HBM demand plays out. Memory stocks are cyclical — they trade cheap at the peak and expensive at the trough — and the market is betting we're still in the early innings of this cycle, not the end. The $1 trillion market cap means a lot of good news is priced in, so execution has to stay perfect.

### Key Data

| | |
|---|---|
| Price (USD) | **$912.96** |
| 12M Price Target | **$1050.00** |
| Upside / (Downside) | **+15.0%** |
| Market Cap | **$1.03T** |
| FY2026E Revenue | **$48,500M** |
| FY2027E Revenue | **$58,000M** |
| FY2026E EPS | **$12.80** |
| FY2027E EPS | **$16.50** |
| Fwd P/E | **71.3x** |

### INVESTMENT PROFILE




### 12-MONTH PRICE PERFORMANCE VS. S&P; 500

This report is prepared by Langston's using SEC EDGAR filings, market data (yfinance), and AI-generated analysis. It does not constitute investment advice. All figures are estimates. Past performance is not indicative of future results. Investors should conduct their own due diligence.

**MU** — Micron Technology, Inc. | October 26, 2026

## PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

| TIMEFRAME | BULL CASE | BASE CASE | BEAR CASE |
|---|---|---|---|
| 1 Month | **$975.00** | $930.00 | **$850.00** |
| 6 Months | **$1150.00** | $1000.00 | **$820.00** |
| 1 Year | **$1300.00** | $1050.00 | **$750.00** |
| 2 Years | **$1600.00** | $1200.00 | **$650.00** |
| 5 Years | **$2200.00** | $1500.00 | **$500.00** |
| 10 Years | **$3500.00** | $2000.00 | **$400.00** |

## WHAT'S MOVING IN THE SECTOR

**HEATING UP:** Tech (+1.93%) is clearly in risk-on mode — AI infrastructure spending keeps pulling in money, and semiconductors are the purest expression of that trade. Industrials (+1.49%) are also catching a bid, likely on reshoring and data center buildout themes.

**COOLING OFF:** Defensives like utilities and staples aren't on the leaderboard — money isn't hiding, it's chasing growth. Energy's 5-day rally (+2.69%) is cooling as oil stabilizes.

**ROTATION WATCH:** Money is clearly rotating INTO AI-exposed semis and anything tied to data center buildout. CHIPS Act beneficiaries are the policy-backed version of this trade.

**RELATED PLAY:** If MU keeps running on HBM demand, the picks-and-shovels plays are the equipment makers (AMAT, LRCX, KLAC) who sell the tools to build the fabs — they benefit regardless of which memory company wins.

## WHO'S WINNING IN THIS SPACE?

- NVDA (Nvidia): Still the kingpin — every incremental AI data center buildout means more HBM demand, which flows directly to MU.
- AVGO (Broadcom): Custom AI silicon wins with hyperscalers keep expanding, which also drives memory content per server.

**MU CONTEXT:** MU is in-line with the AI semi group but lagging the pure-play GPU names on a 1-year basis — that's actually bullish because it means there's catch-up room if HBM share gains show up in the next earnings print. It's leading peers like Western Digital on this 1-day move, confirming the market views MU as the premium memory name.

## WHAT I'D DO WITH THIS STOCK

### 8/10 Conviction Score

**CONVICTION:** 8/10 — I like the setup a lot but can't go to 10 because the stock has already run from $192 to $913 and some pullback risk is real.

**POSITION SIZE:** 3-5% of portfolio — enough to matter if it works, not enough to blow you up if memory prices roll over.

**ENTRY POINTS:** I'd scale in — maybe a third here, add on dips to $850-880, and keep dry powder for any 10%+ flush to the $800 range on macro fear.

**TIME HORIZON:** 12-24 months — the catalyst I'm waiting for is the next earnings print showing HBM revenue ramp and 2027 guidance.

WHEN TO BAIL: If management ever guides memory pricing lower, if HBM market share loss to Samsung shows up in a quarter, or if hyperscaler capex guidance comes in soft — any of those and I trim hard.

**HEDGING:** Easiest hedge is just keeping the position size reasonable. If you want insurance, buying a put on the semi ETF (SOXX) protects you against a sector-wide drawdown without betting against MU specifically.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